

NMLS SAFE MLO EXAM PREPARATION

Practice Exam 5 of 7

Scheduled for: Monday, April 21, 2026

Focus: Comprehensive Review — All Five Topic Areas

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	4 Hours	75% (90 correct)	April 24, 2026

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. Under RESPA, an 'affiliated business arrangement' (AfBA) is permissible when:

- No disclosure is required if the fee is small
- The referring party discloses the arrangement in writing, the borrower is not required to use the affiliated company, and any payments represent a return on ownership
- The lender and title company have the same parent company
- The borrower is never charged for services from the affiliated company

2. Under TILA Regulation Z, for which of the following is the right of rescission available?

- Purchase of a primary residence
- Cash-out refinance of a primary residence
- Any VA loan
- Purchase of a second home

3. The CFPB's ability-to-repay (ATR) rule applies to all of the following EXCEPT:

- Closed-end consumer credit transactions secured by a dwelling
- Purchase money mortgages on primary residences
- Refinances of primary residences
- Temporary bridge loans with a term of 12 months or less

4. Under ECOA, what is the 'business credit' exemption?

- Business loans are completely exempt from ECOA
- Certain requirements are relaxed for business credit, though the basic anti-discrimination provisions still apply
- Only government entities may lend to businesses
- All ECOA rules are doubled for business loans

5. What is 'disparate treatment' in mortgage lending enforcement?

- A statistical analysis showing overall lending disparities
- Intentional discrimination against applicants based on a protected class characteristic, often proven through comparative file review or direct evidence
- Inconsistent application of underwriting standards across loans
- A requirement for additional documentation from certain borrowers

6. The Dodd-Frank Act created the 'Ability-to-Repay' rule and 'Qualified Mortgage' safe harbor. The primary policy goal was to:

- Reduce the number of mortgage loans made
- Ensure lenders make a good-faith determination that borrowers can repay their mortgages, preventing the risky lending that contributed to the 2008 financial crisis
- Require all mortgages to be 30-year fixed-rate
- Limit loan amounts to 3x annual income

7. Under HMDA, which of the following is reported as a 'denial' of an application?

- The application was withdrawn by the borrower
- The borrower was approved but chose not to close
- The lender denied the application for credit
- The borrower asked for a counteroffer

8. Under FCRA, what is a 'consumer report'?

- A report the consumer files about a lender
- A communication by a consumer reporting agency bearing on a consumer's creditworthiness, used in determining eligibility for credit, insurance, employment, or other purposes
- A bank statement provided by the borrower
- An income verification report

9. What is the SAFE Act's 'unique identifier' requirement designed to prevent?

- Identity theft of borrowers
- MLOs operating anonymously without accountability, allowing consumers and regulators to track MLOs across employers and verify their licensing status
- Duplicate NMLS accounts
- Interest rate fraud

10. Under HOEPA, which of the following practices is prohibited for high-cost mortgages?

- Requiring title insurance
- Charging prepayment penalties after the first year for high-cost mortgages secured by a principal dwelling
- Requiring an escrow account
- Offering a fixed interest rate

11. What is 'fair lending' and which laws govern it?

- A requirement to offer loans at below-market rates
- Anti-discrimination principles in credit governed primarily by the Fair Housing Act, ECOA, and the Equal Credit Opportunity Act
- Only applicable to government-backed loans
- Only applicable to purchase transactions

12. Under RESPA, which of the following is exempt from RESPA's coverage?

- A 30-year fixed-rate first mortgage on a single-family home
- A commercial real estate loan on a shopping center
- An FHA home purchase loan
- A conventional refinance of a 1-4 family home

13. The purpose of the TRID 'Loan Estimate' is to:

- Lock in the final loan terms
- Provide a standardized 3-page disclosure of key loan terms, estimated costs, and projected payments within 3 business days of application so borrowers can comparison shop
- Approve or deny the loan application
- Replace the underwriting decision

14. Under TILA, what are 'prepaid finance charges'?

- Interest paid in advance to reduce the rate
- Finance charges paid separately (before or at closing) rather than financed into the loan, including origination fees, points, and certain other lender fees
- Escrow deposits for future tax payments
- Title insurance premiums

15. What is the 'Gramm-Leach-Bliley Act' (GLBA) 'safeguards rule'?

- A rule limiting loan amounts
- A requirement that financial institutions implement information security programs to protect customers' non-public personal information from unauthorized access or disclosure
- A rule governing loan officer compensation
- A requirement for lenders to offer multiple products

16. What does it mean for a lender to 'cure' a TRID violation related to tolerance exceedances?

- Cancelling the loan
- Refunding to the borrower any amount by which the charged fee exceeded the applicable tolerance, within 60 calendar days of consummation
- Issuing a revised Loan Estimate
- Reducing the interest rate to compensate

17. Under TILA, what is the 'introductory rate' disclosure requirement for ARM advertisements?

- No disclosure of introductory rates is required
- If an ARM advertisement features an introductory or 'teaser' rate, it must clearly state how long the rate is effective and the APR for the loan
- Only the APR must be disclosed, not the introductory rate
- The introductory rate must be the same as the APR

18. What is the 'Community Reinvestment Act' (CRA) and how does it relate to mortgage lending?

- It requires lenders to make charitable donations
- It requires federally insured depository institutions to serve the credit needs of their entire community, including low- and moderate-income areas, encouraging mortgage lending in underserved communities
- It mandates interest rate caps in low-income areas
- It prohibits lending in high-income neighborhoods

19. Under HMDA, who must disclose their racial/ethnic and gender data?

The MLO

The applicant (and co-applicant if any), with collection required even if the applicant declines to provide it (MLO records from observation)

Both the MLO and the applicant

Only minority applicants

20. What is a 'higher-priced mortgage loan' (HPML) under Regulation Z?

Any loan above the conforming limit

A closed-end consumer mortgage with an APR exceeding the Average Prime Offer Rate (APOR) by 1.5% or more for first liens (or other specified margins for junior liens)

Any loan with points and fees above 3%

Any loan requiring PMI

21. What is 'churning' of credit reports?

Ordering multiple credit reports to find the best score

When a lender repeatedly pulls a borrower's credit report to keep it current without a valid business purpose — this can unnecessarily damage the consumer's credit score

A process for improving credit scores

The practice of disputing all negative items

22. What is 'redlining' versus 'reverse redlining' in modern enforcement?

Both are the same practice

Redlining = refusing to lend in minority areas; reverse redlining = targeting minority areas with predatory/high-cost products. Both are illegal forms of discrimination.

Redlining is legal; reverse redlining is not

Neither is illegal under current law

23. Under RESPA, what is the 'Section 5 disclosure'?

The escrow analysis statement

The requirement to provide the CFPB's 'Your Home Loan Toolkit' consumer booklet to purchase mortgage applicants within 3 business days

The affiliated business arrangement disclosure

The servicing transfer notice

24. What is 'TRID tolerance cure' and when can it be used?

A method for borrowers to dispute charges

When a lender discovers that fees on the Closing Disclosure exceed the applicable tolerances from the Loan Estimate, a cure involves refunding the excess to the borrower within 60 days of consummation

A tool for lenders to revise the Loan Estimate

A waiver process for TRID violations

25. Under Regulation Z, 'loan originator compensation' rules prohibit which of the following?

- MLOs receiving any compensation
- Compensation based on loan terms other than loan amount (e.g., bonuses for originating higher-rate loans or specific products), which creates incentives for steering
- Lenders paying MLOs a salary
- Processing fees charged to borrowers

26. What is the 'SAFE Act' test failure policy for the national exam?

- No limit on attempts — can retake immediately every time
- After each failure, a 30-day waiting period; after three consecutive failures, a 6-month waiting period before retaking
- Two attempts allowed per year
- Automatic license denial after any failure

27. What is a 'HECM' reverse mortgage?

- A Home Equity Credit Management loan
- A Home Equity Conversion Mortgage — the FHA-insured reverse mortgage program for homeowners 62+ that allows equity conversion without monthly payments
- A HELOC with a 10-year draw period
- A home equity loan with an adjustable rate

28. What is a 'USDA Guaranteed loan' vs. a 'USDA Direct loan'?

- They are the same product with different names
- A Guaranteed loan is originated by an approved lender with USDA guaranteeing against default; a Direct loan is funded directly by the USDA government for very low-income borrowers
- A Guaranteed loan has a guarantee fee; a Direct loan does not
- A Direct loan is for rural commercial properties

Section 2: General Mortgage Knowledge

29. What is a 'construction-to-permanent loan'?

- A loan for purchasing an existing property that needs major repairs
- A single-close financing solution that funds construction and then automatically converts to a permanent mortgage upon completion
- A two-step process requiring separate construction and permanent loan applications and closings
- A loan for commercial construction

30. What is 'gap insurance' or 'mortgage protection insurance' different from PMI?

- They are the same thing
- Mortgage protection insurance pays off or reduces the mortgage balance if the borrower dies or becomes disabled; PMI protects the lender against borrower default
- Gap insurance is for investment properties only
- Mortgage protection insurance is required by all lenders

31. What is 'tenancy in common' vs 'joint tenancy' in property ownership?

They are the same type of ownership

Tenancy in common allows different ownership percentages with no survivorship; joint tenancy has equal shares with right of survivorship (interest passes to surviving co-owners, not heirs)

Tenancy in common is for married couples; joint tenancy is for business partners

Joint tenancy requires equal mortgage payments

32. What is a 'deed of trust' and how does it differ from a mortgage?

They are identical instruments

A deed of trust involves three parties (trustor, trustee, beneficiary) and allows non-judicial foreclosure in most states; a traditional mortgage involves two parties and typically requires judicial foreclosure

A deed of trust is only used for commercial loans

A mortgage is faster to foreclose than a deed of trust

33. What is 'flood zone determination' in the mortgage process?

The lender's assessment of flood risk

The process of determining whether a property is located in a FEMA Special Flood Hazard Area (SFHA), which triggers federal flood insurance requirements for federally backed loans

A state tax assessment for flood-prone properties

An environmental report on the property

34. What is 'mortgage backed security' (MBS)?

A security deposit on a mortgage application

A financial instrument backed by a pool of mortgage loans, allowing investors to purchase shares of mortgage interest and principal payments

A government bond secured by mortgage payments

A lender's security interest in a mortgaged property

35. What is 'interest rate risk' for mortgage lenders?

The risk that borrowers will default on their loans

The risk that rising interest rates will reduce the value of fixed-rate mortgage assets held in portfolio, or that rate decreases will cause prepayment surge, disrupting projected cash flows

The risk that the property loses value

The risk that the borrower's income will decrease

36. What is the difference between 'prepaids' and 'closing costs' on the Closing Disclosure?

They are the same category of expenses

Prepaids are funds paid in advance for ongoing property expenses (prepaid interest, insurance premiums, property tax deposits); closing costs are fees for services rendered in connection with the transaction

Prepaids are paid by the seller; closing costs are paid by the buyer

Prepaids are tax deductible; closing costs are not

37. What is a 'non-warrantable condominium'?

A condo that has not received a building permit

A condo that does not meet Fannie Mae/Freddie Mac (or FHA/VA) guidelines for condominium financing, which may be due to high investor concentration, litigation, inadequate reserves, or commercial space

A condo with structural defects

A condo in an urban area

38. What is 'loss mitigation' in mortgage servicing?

Insurance against property value loss

The process by which mortgage servicers work with delinquent borrowers to avoid foreclosure, including loan modifications, forbearance plans, repayment plans, short sales, and deeds in lieu

Protecting the lender against natural disaster losses

Reducing the loss from rate changes

39. What is 'cross-default' in lending?

When two borrowers default simultaneously

A provision in a loan agreement stating that default on one loan also triggers default on another loan from the same lender, allowing the lender to accelerate all loans simultaneously

When a guarantor defaults instead of the primary borrower

When a property is used as collateral for multiple loans

40. What is 'seller-paid closing costs' or 'seller concessions'?

The seller reducing the purchase price

Credits from the seller toward the buyer's closing costs, limited by loan program guidelines (e.g., FHA 6%, conventional 3-6%)

The seller paying the buyer's down payment

The seller paying the buyer's PMI

41. What is 'mortgage note' and what does it represent?

A note the lender provides to the borrower about interest rates

A legal promissory note signed by the borrower at closing, evidencing the debt and the promise to repay according to the loan terms

A note kept in the borrower's file

The appraisal report for the property

42. What is 'rate buydown' in mortgage lending?

Paying fees to permanently or temporarily reduce the interest rate below the market rate

A federal program subsidizing mortgage rates

Reducing the rate by extending the loan term

A lender reducing the rate to win a borrower's business

43. What is 'Regulation B' notification requirement for approved credit?

Lenders must always provide a written approval letter

For approved credit on the terms requested, a written notice of approval is not required (though lenders may provide one); approval through consummation of the credit transaction satisfies the notification requirement

All approvals require written notification within 7 days

Approvals only require verbal notification

44. What is a 'tri-merge' credit report?

A credit report showing three years of history

A single credit report that combines data from all three major credit bureaus (Equifax, TransUnion, Experian), showing a comprehensive view of the borrower's credit history

A credit report used for three co-borrowers

A report that merges credit, employment, and income data

45. What is a 'non-occupant co-borrower'?

A co-borrower who sometimes lives in the property

A person who co-signs the mortgage and is equally responsible for the debt but does not intend to occupy the property as a primary residence — often used to strengthen an application

A co-borrower who defaults on the loan

A borrower who moves out during the loan term

46. What is 'title seasoning' required in some loan programs?

The age of the property title

A requirement that a seller must have owned (held title to) a property for a minimum period before selling it to a buyer using certain financing

The process of updating title insurance

A title company fee based on time in escrow

47. What is the purpose of the 'flood zone certification'?

To certify the property is flood-free

To determine and document whether a property is in a FEMA Special Flood Hazard Area, which is required by federal law for federally backed mortgages

To certify the property has flood insurance

To assess the flood damage history of the property

48. What is a 'non-arm's length transaction' in real estate?

A transaction conducted entirely online

A transaction where the buyer and seller have a pre-existing relationship (e.g., family members, employer/employee, business associates) that could affect the terms of the sale

Any commercial real estate transaction

A transaction that closes in less than 30 days

49. What is the 'Three-Day Rule' for Closing Disclosures under TRID?

The closing must occur within 3 days of the Loan Estimate

The borrower must receive the Closing Disclosure at least 3 business days before consummation to allow adequate review time

The lender has 3 days to issue the CD after receiving all closing documents

The title company must provide the CD 3 days before the scheduled closing

50. What is 'correspondent lending' versus 'retail lending'?

Correspondent lending uses online applications; retail uses paper applications

In retail lending, the lender directly markets to and takes applications from consumers; in correspondent lending, the lender purchases already-originated loans from smaller lenders

Correspondent lending is for commercial loans only

Retail lending requires more staff than correspondent

51. What is the difference between a 'fixed-rate mortgage' and a 'variable-rate mortgage'?

A fixed-rate mortgage is for purchase; variable is for refinance

A fixed-rate mortgage maintains the same interest rate for the entire loan term; a variable-rate (ARM) mortgage has an interest rate that can change after an initial period based on an index

Fixed-rate mortgages are only available for 30-year terms

Variable-rate mortgages have lower APRs

52. What is the 'debt service coverage ratio' (DSCR) and for what type of loans is it used?

The same as DTI — used for all loans

A ratio of a property's net operating income to its debt service, primarily used for investment property and commercial real estate loans

A ratio used only for VA loans

A ratio of assets to debt service

53. What is a 'buydown agreement' in new home construction?

An agreement for the buyer to buy down the sales price

An agreement (typically from the builder) to pay discount points to temporarily or permanently reduce the buyer's interest rate, making the home more affordable

An agreement for the buyer to return the property

A contract clause reducing the price if the home takes too long to build

54. What is the significance of the 'date of application' under TRID?

Only the closing date matters under TRID

It starts the clock for the 3-business-day Loan Estimate delivery requirement; once all 6 pieces of application information are received, the LE must be delivered or mailed within 3 business days

It determines which property tax year applies

It starts the 30-day adverse action notice window

55. What is the ethical obligation of an MLO when they cannot complete a loan they started?

- Simply stop working on the loan without notification
- Promptly notify the borrower, explain the situation, and help them understand their options (including referrals to other lenders) so they are not harmed by the delay
- Complete the loan by any means necessary
- Wait until the file is assigned to someone else

56. What is the ethical issue with 'channeling' borrowers to higher-rate products when they qualify for lower rates?

- It benefits the lender so it is acceptable
- It constitutes steering — directing borrowers to more costly products than they qualify for, which is both unethical and potentially a fair lending violation
- It is only problematic if based on race
- It is standard pricing practice

Section 3: Loan Origination Activities

57. What does 'professional responsibility' mean for an MLO?

- Completing applications accurately regardless of ethics
- The obligation to act competently, ethically, and in the best interest of clients — including disclosing relevant information, recommending suitable products, and avoiding conflicts of interest
- Being responsible only for their own actions, not those of their employer
- Only being responsible for the accuracy of disclosures

58. What is 'misrepresentation by omission' in mortgage lending?

- Forgetting to include information on the application
- Failing to disclose material information that the borrower would want to know, even if not directly asked — can be as harmful as active misrepresentation
- Accidentally submitting an incomplete application
- Omitting one document from the loan file

59. What is a 'conflict of interest' policy and why do lenders have them?

- A policy to resolve disputes between lenders
- A policy that identifies situations where an MLO's personal interests might conflict with the borrower's best interests, and procedures to manage or disclose such conflicts
- A policy about competing lenders
- A policy for handling complaints

60. What is 'suitability' in the mortgage context and what does it require?

- Ensuring the property is suitable for the borrower's family size
- Recommending loan products that are genuinely appropriate for the borrower's financial situation, risk tolerance, and long-term interests — not just any product the borrower qualifies for
- Checking that the borrower has suitable credit
- Ensuring the borrower suits the loan program

61. What is 'whistle-blowing' in the mortgage context and what protections exist?

- A form of advertising
- Reporting suspected fraud or regulatory violations to regulators or law enforcement — protected under Dodd-Frank and other whistleblower protection laws
- Calling other lenders for rate quotes
- Making public complaints about a lender

62. What is 'dual representation' and why must it be avoided or disclosed?

- Working at two different lenders
- Representing both the borrower and the lender's interests in a transaction — creates irreconcilable conflicts of interest that compromise the MLO's duty to each party
- Using two different loan programs for one transaction
- Handling both purchase and refinance loans

63. What is the MLO's ethical duty when they discover that the property value used in a previous appraisal was fraudulently inflated by a prior owner to take cash out?

- Ignore it — the current transaction is separate
- Disclose the issue to the lender and potentially file a SAR if the evidence suggests fraud
- Proceed with the current loan if the new appraisal supports the value
- Tell only the borrower and let them decide whether to proceed

64. What is the primary function of state mortgage licensing authorities?

- To set interest rates in the state
- To license and supervise non-bank mortgage companies and their MLOs, enforcing state mortgage laws and protecting consumers
- To manage the NMLS database
- To regulate banks and savings associations

65. When can a state licensing authority suspend an MLO's license without prior notice (emergency suspension)?

- Whenever they believe the MLO is underperforming
- When there is an immediate threat to public safety, significant risk of consumer harm, or clear and ongoing fraudulent activity that requires immediate action
- Only after a formal hearing
- Only when requested by federal regulators

66. What is the NMLS 'deficiency' process when an application is incomplete?

- The application is automatically rejected
- The state licensing authority issues a notice of deficiency identifying missing information or documents, giving the applicant a specific time period to provide them
- The application is held indefinitely
- The applicant automatically fails

67. What is the 'examination' of a licensed mortgage company by state regulators?

- The test MLOs must pass to get licensed
- A regulatory examination (audit) of the company's books, records, policies, and loan files to assess compliance with state and federal laws
- A physical inspection of the company's office
- A review of the company's financial statements only

68. What is the purpose of the 'net worth' requirement for licensed mortgage companies?

- To ensure the company can pay its employees
- To demonstrate that the company has sufficient financial resources to conduct business, meet obligations, and provide a financial cushion against potential losses
- To qualify for investment-grade credit ratings
- To meet SEC reporting requirements

69. What is the consequence for an MLO who originates loans in a state without a license?

- Only a warning for first offense
- State regulatory action including fines, cease and desist orders, and potential license denial; loans originated may be unenforceable; criminal charges possible
- Only a license delay
- A mandatory compliance training requirement

70. What does 'reciprocal licensing' mean for MLOs moving between states?

- Being automatically licensed in all states after passing NMLS
- Some states may waive certain requirements (like retaking the national exam) for MLOs already licensed in another state, recognizing the equivalency of requirements
- Federal law granting automatic multi-state licensing
- A special status for experienced MLOs

71. What is a 'mortgage call report' (MCR) and when must it be submitted?

- A daily report of mortgage rates
- A quarterly and annual financial report submitted by state-licensed mortgage companies through NMLS, providing data on loan volume, financial condition, and business activities
- A weekly report to the CFPB
- An annual report to the Federal Reserve

72. What triggers an automatic license suspension for an MLO under most state laws?

- Missing one CE class
- Failing to complete required continuing education before the license renewal deadline
- Moving to a new address without updating NMLS
- Working remotely from home

73. What information must a licensed mortgage company disclose to state regulators on a going-forward basis after initial licensure?

- Nothing — only initial licensure requires disclosure
- Material changes (ownership, officers, branch locations), periodic financial reports, regulatory actions in other states, criminal convictions, and any other information required by state law
- Only annual CE completion certificates for MLOs
- Only changes to their product offerings

74. What is the 'test retake policy' for the NMLS national exam?

- Unlimited retakes at any time
- 30-day waiting period after each failure; after three consecutive failures, a mandatory 6-month waiting period before the next attempt
- No retakes allowed — one chance only
- Must wait one year between each attempt

75. The Servicemembers Civil Relief Act (SCRA) provides which protection for active-duty military members with mortgages?

- A. Complete forgiveness of mortgage debt
- B. Interest rate reduction to 6% on pre-service mortgage obligations upon written request
- C. Automatic deferral of all mortgage payments for the deployment period
- D. VA loan eligibility regardless of prior service

76. Under RESPA, 'kickback' is defined to include:

- A. Only cash payments between settlement service providers
- B. Any split of unearned fees between service providers
- C. Payments for services not actually performed
- D. Both B and C

77. Under TILA's right of rescission, Saturday is considered a business day for purposes of calculating the rescission period. TRUE or FALSE?

- A. True — Saturday counts as a business day for rescission
- B. False — Saturday is not a business day for rescission
- C. True only if the lender's offices are open on Saturday
- D. It depends on state law

78. Under Dodd-Frank, which of the following is TRUE about prepayment penalties on Qualified Mortgages?

- A. All QM loans can have prepayment penalties of up to 3%
- B. Prepayment penalties are prohibited on all QM loans
- C. Prepayment penalties are only allowed on QM loans with fixed rates
- D. Prepayment penalties can only be charged within the first 3 years on QM loans

79. Under ECOA, if a creditor denies an application because of information obtained from a source OTHER than a consumer reporting agency, the adverse action notice must:

- A. Only cite the credit report
- B. Inform the applicant they have the right to obtain the specific reasons for denial
- C. Not be given — only CRA-based denials require notices
- D. Be filed with the CFPB

80. The 'military indulgence' provision under SCRA means:

- A. Military members get automatic loan forgiveness
- B. Courts may stay foreclosure proceedings against active-duty members during their service
- C. Banks must waive origination fees for veterans
- D. VA guarantees all loans for active-duty personnel

81. A 'second mortgage' is a loan that:

- A. Can only be obtained on a second property
- B. Is secured by the same property as the first mortgage but has subordinate lien position
- C. Always has a lower interest rate than the first mortgage
- D. Requires a new title search

82. Which of the following is the PRIMARY risk for a lender in making a mortgage loan?

- A. Interest rate risk
- B. Default risk — the borrower fails to make payments
- C. Liquidity risk
- D. Regulatory risk

83. In mortgage lending, the 'loan-to-cost' (LTC) ratio is most commonly used in:

- A. Standard purchase transactions
- B. Construction lending to compare the loan amount to the total construction cost
- C. Refinance transactions
- D. Government loan programs

84. Under FHA guidelines, the 'non-occupying co-borrower' is:

- A. Not permitted on FHA loans
- B. Permitted on FHA loans with the same credit and income requirements as the primary borrower
- C. Only allowed if they are a family member of the borrower
- D. Allowed but their income cannot be used for qualifying

85. A 'payment shock' analysis is most important for which type of loan?

- A. A 30-year fixed-rate conventional loan
- B. An interest-only ARM converting to fully amortizing principal and interest payments
- C. An FHA loan after MIP cancellation
- D. A 15-year fixed-rate conventional loan

86. An 'assumable' mortgage is one where:

- A. The lender can assume responsibility for repairs
- B. A new buyer takes over the existing mortgage and its terms without creating a new loan
- C. The borrower automatically qualifies for a new loan at closing
- D. Both parties assume joint liability for the debt

Section 4: Ethics

87. The maximum conventional loan limit set by FHFA is adjusted:

- A. Every 5 years by Congress
- B. Annually based on changes in average home prices
- C. Only when inflation exceeds 5%
- D. Never — it has been the same since 2008

88. Which of the following describes the 'note' (promissory note) in a mortgage transaction?

- A. The document that pledges the property as collateral
- B. The written promise to repay the loan, including interest rate, payment schedule, and terms
- C. The title insurance commitment
- D. The lender's approval letter

89. What is the maximum seller concession allowed on a VA loan (for items beyond customary closing costs)?

- A. 2%
- B. 3%
- C. 4%
- D. 6%

90. The 'Loan Processor' role in mortgage origination primarily involves:

- A. Deciding whether to approve or deny the loan
- B. Gathering and organizing borrower documentation, ordering third-party services, and preparing the file for underwriting
- C. Negotiating loan terms with the borrower
- D. Setting the interest rate and pricing for the loan

91. An 'automated underwriting system' (AUS) evaluates a loan application by:

- A. Replacing all human judgment in the underwriting process
- B. Analyzing loan data against investor guidelines and providing a risk assessment recommendation
- C. Guaranteeing that the loan will be approved by Fannie Mae or Freddie Mac
- D. Calculating only the borrower's credit score

92. Under TRID, which of the following must be included on the Loan Estimate for an adjustable-rate loan?

- A. Only the initial rate and payment
- B. An AIR Table (Adjustable Interest Rate) showing the maximum possible interest rate and payment
- C. All possible future rate scenarios
- D. Only the fully indexed rate

93. A borrower who receives a 'cash gift' for a down payment must provide a gift letter stating all of the following EXCEPT:

- A. The dollar amount of the gift
- B. The relationship between the donor and the recipient
- C. The gift does not need to be repaid
- D. The donor's net worth

94. When a borrower's debt-to-income ratio exceeds conventional guidelines, which of the following may be used as a compensating factor under Fannie Mae DU?

- A. The borrower has a high credit score with no compensating factors needed for 45% DTI
- B. Significant post-closing liquid reserves (e.g., 12+ months PITI)
- C. A long employment history regardless of other factors
- D. A co-borrower who is not on the title

95. Which document transfers legal title to the property from the seller to the buyer at closing?

- A. The promissory note
- B. The deed (grant deed, warranty deed, or quitclaim deed)
- C. The mortgage or deed of trust
- D. The title commitment

96. When an MLO makes promises about loan approval or closing timelines that they cannot guarantee, they are potentially violating:

- A. Only the borrower's expectations
- B. UDAAP — deceptive practices by making false or misleading representations
- C. RESPA — by creating false service expectations
- D. FCRA — by making promises about credit reporting

97. An MLO who recommends an interest-only loan to a borrower who clearly cannot afford the principal payments once the I/O period ends is engaging in:

- A. Smart product matching for the borrower's needs
- B. Predatory lending — recommending an unsuitable product
- C. A legal but aggressive sales strategy
- D. Acceptable risk-based product recommendation

98. An MLO is approached by a 'credit repair' company that promises to remove accurate negative information from borrowers' credit reports. The MLO should:

- A. Refer all borrowers with credit issues to this company
- B. Refuse to work with such companies — removing accurate information is illegal
- C. Accept referral fees for sending customers to the credit repair company
- D. Allow the credit repair company to 'clean' files before submission

99. Which of the following is an example of a permissible marketing practice under RESPA?

- A. A title company purchasing advertising on an MLO's website in exchange for borrower referrals
- B. A mortgage company providing branded promotional items of nominal value (under \$15) to referring real estate agents
- C. A settlement service provider paying for an MLO's continuing education in exchange for referrals
- D. A lender paying for an open house in exchange for referrals from the listing agent

100. Under the SAFE Act, the term 'residential mortgage loan' is defined to include all of the following EXCEPT:

- A. A loan to refinance a principal dwelling
- B. A home equity loan on a 1-4 unit property
- C. A commercial construction loan for an apartment building with 5+ units
- D. A purchase money loan for a single-family home

101. Which of the following describes the NMLS 'unique identifier' disclosure requirement?

- A. MLOs must tattoo their ID number on their wrist
- B. The NMLS ID must appear on all residential mortgage loan applications and advertising/solicitations for residential mortgage loans
- C. The ID must be verbally recited at the start of every borrower call
- D. The ID must appear only on business cards

102. When a state regulator investigates a complaint against a licensed MLO, the MLO has which obligation?

- A. The right to remain silent under the 5th Amendment with no penalty
- B. The obligation to cooperate with the investigation and provide requested documents
- C. The right to have the CFPB intervene on their behalf
- D. No obligation until a formal hearing is scheduled

103. The primary difference between a 'mortgage banker' and a 'mortgage broker' is that the banker:

- A. Is always a bank
- B. Funds loans using its own capital (or warehouse lines) and may sell or service them after closing
- C. Only originates FHA and VA loans
- D. Has no licensing requirements

104. Under the SAFE Act, an MLO who has had their license revoked in one state:

- A. Can immediately apply for licensure in another state without disclosure
- B. Must disclose the revocation when applying in any other state, and the revocation may affect other state applications
- C. Cannot ever be licensed in any other state
- D. Can obtain a restricted license in another state within 30 days

105. In which situation is an MLO's NMLS Unique Identifier NOT required to be disclosed?

- A. On a TV commercial about the MLO's mortgage services
- B. On a business card listing mortgage services
- C. In a conversation about home prices at a dinner party with no solicitation of business
- D. In an online advertisement for mortgage rates

Section 5: Uniform State Content (SAFE Act & Licensing)

106. Which of the following describes the proper handling of a borrower who applies for a loan that the MLO believes the borrower clearly cannot afford?

- A. Proceed with the application and let underwriting make the decision
- B. Decline to take the application without explanation
- C. Honestly advise the borrower of the qualification concerns while taking the application if the borrower still wishes to proceed
- D. Pre-approve the borrower and let them find out at closing

107. An MLO who sponsors their own CE (continuing education) courses to fulfill their own CE requirement is:

- A. Permitted since they authored the material
- B. Prohibited — MLOs cannot use CE that they authored to fulfill their own annual CE requirement
- C. Allowed but only for the first year
- D. Encouraged to share knowledge in this way

108. Which of the following statements about NMLS is TRUE?

- A. NMLS directly sets licensing fees for all states
- B. An MLO's NMLS record includes background check results, employment history, and any disciplinary actions
- C. NMLS can revoke an MLO's license directly
- D. NMLS requires all MLOs to maintain a minimum net worth

109. Under which circumstances can a state-licensed MLO originate a loan in a state where they are NOT licensed?

- A. If the property is in a state adjacent to where the MLO is licensed
- B. In limited circumstances under temporary authority provisions for MLOs transitioning between employers or applying for a new state license
- C. Whenever the borrower resides in the MLO's licensed state
- D. Never — no exceptions exist

110. The SAFE Act's testing requirement was designed to:

- A. Generate revenue for testing companies
- B. Establish a uniform minimum knowledge standard for all state-licensed MLOs across the country
- C. Replace the educational requirement entirely
- D. Only test MLOs who work for non-traditional lenders

111. Which of the following is an example of a 'kickback' prohibited by RESPA Section 8?

- A. A title company paying a real estate agent for performing title search services
- B. A lender paying a real estate broker \$200 per referral that results in a closed loan
- C. An appraiser charging \$500 for a residential appraisal
- D. A credit reporting agency charging \$25 for a credit report

112. The 'three-day rule' for delivering the Loan Estimate requires that the LE be delivered within 3 business days of receiving an 'application.' Under TRID, a complete application consists of six elements — which of the following is NOT one of them?

- A. Borrower's name
- B. Borrower's income
- C. Borrower's Social Security number
- D. Borrower's current credit score

113. Under ECOA, a 'self-employed' borrower's income must be treated:

- A. As ineligible for mortgage qualifying
- B. The same as any other income source — evaluated for stability, continuity, and likelihood to continue
- C. With a mandatory 50% reduction for risk
- D. Only using the most recent year's income

114. A 'piggyback' second mortgage used to avoid PMI is MOST accurately described as:

- A. An FHA loan structure
- B. A legal financing strategy that pairs a first mortgage at or below 80% LTV with a second mortgage covering additional financing needs
- C. A predatory lending practice
- D. Only available to borrowers with credit scores above 760

115. Which of the following is TRUE about the FHA 203(k) Rehabilitation Loan?

- A. It is exclusively for commercial properties
- B. It allows borrowers to finance both the purchase (or refinance) of a home AND renovation costs in a single FHA loan
- C. It requires a minimum renovation budget of \$100,000
- D. It is only for new construction

116. Which type of income is considered most stable for mortgage qualifying purposes?

- A. Overtime and bonus income
- B. Commission income
- C. Base salary from a W-2 employer
- D. Self-employment income

117. Under the SAFE Act, which of the following describes the 'nationwide mortgage licensing system'?

- A. A system operated by the CFPB to approve all mortgage loans
- B. A multi-state system that provides a uniform platform for licensing, registration, and supervision of MLOs
- C. A database of all mortgage applications
- D. A rating system for mortgage lenders

118. A mortgage servicer who misapplies a borrower's payment (for example, crediting it to fees rather than principal and interest) may be violating:

- A. RESPA Section 6 — Servicing obligations
- B. TILA's origination disclosure requirements
- C. The SAFE Act's licensing provisions
- D. HMDA reporting requirements

119. Which of the following is TRUE about 'lender credits' on a Loan Estimate?

- A. They increase the loan amount
- B. They reduce the borrower's closing costs in exchange for a higher interest rate
- C. They are paid by the seller to the lender
- D. They are only available on government loans

120. Which of the following federal laws requires lenders to maintain and provide to consumers a list of homeownership counseling agencies within 3 business days of application?

- A. The Fair Housing Act
- B. RESPA (Regulation X)
- C. TILA (Regulation Z)
- D. The SAFE Act

Section 1: Federal Mortgage-Related Laws

Q1: Under RESPA, an 'affiliated business arrangement' (AfBA) is permissible when:

- A. No disclosure is required if the fee is small
- ✓ **B. The referring party discloses the arrangement in writing, the borrower is not required to use the affiliated company, and any payments represent a return on ownership**
- C. The lender and title company have the same parent company
- D. The borrower is never charged for services from the affiliated company

Explanation: RESPA allows affiliated business arrangements (AfBAs) under a Section 8 exception when: (1) the referring party provides a written AfBA disclosure, (2) the referred party is not required to use the affiliated company, and (3) payments represent only a return on ownership/franchise interest.

Q2: Under TILA Regulation Z, for which of the following is the right of rescission available?

- A. Purchase of a primary residence
- ✓ **B. Cash-out refinance of a primary residence**
- C. Any VA loan
- D. Purchase of a second home

Explanation: The 3-day right of rescission under TILA applies to non-purchase money loans secured by the borrower's principal dwelling — most commonly refinances. It does NOT apply to purchase transactions, regardless of loan type. Purchase of a second home or investment property also does not trigger rescission rights.

Q3: The CFPB's ability-to-repay (ATR) rule applies to all of the following EXCEPT:

- A. Closed-end consumer credit transactions secured by a dwelling
- B. Purchase money mortgages on primary residences
- C. Refinances of primary residences
- ✓ **D. Temporary bridge loans with a term of 12 months or less**

Explanation: The ATR rule applies to most closed-end consumer credit transactions secured by a dwelling. Exemptions include: bridge loans with a term of 12 months or less (secured by consumer's current or new home), construction loans, reverse mortgages, and loans made by creditors making 5 or fewer loans per year.

Q4: Under ECOA, what is the 'business credit' exemption?

- A. Business loans are completely exempt from ECOA
- ✓ **B. Certain requirements are relaxed for business credit, though the basic anti-discrimination provisions still apply**
- C. Only government entities may lend to businesses
- D. All ECOA rules are doubled for business loans

Explanation: ECOA applies to all credit transactions, including business credit. However, some notification and record retention requirements differ for business credit. The core anti-discrimination provisions still apply — lenders cannot discriminate in business lending based on protected characteristics.

Q5: What is 'disparate treatment' in mortgage lending enforcement?

- A. A statistical analysis showing overall lending disparities
- ✓ **B. Intentional discrimination against applicants based on a protected class characteristic, often proven through comparative file review or direct evidence**
- C. Inconsistent application of underwriting standards across loans
- D. A requirement for additional documentation from certain borrowers

Explanation: Disparate treatment is the intentional discrimination of applicants based on protected class membership. Regulators prove disparate treatment through: comparative file review (similarly situated applicants treated differently), statistical evidence, direct evidence (statements), or evidence of pretext. It can be explicit or implied.

Q6: The Dodd-Frank Act created the 'Ability-to-Repay' rule and 'Qualified Mortgage' safe harbor. The primary policy goal was to:

- A. Reduce the number of mortgage loans made
- ✓ **B. Ensure lenders make a good-faith determination that borrowers can repay their mortgages, preventing the risky lending that contributed to the 2008 financial crisis**
- C. Require all mortgages to be 30-year fixed-rate
- D. Limit loan amounts to 3x annual income

Explanation: The ATR/QM rule was created in response to the 2008 financial crisis, during which widespread irresponsible lending (no-doc loans, stated-income, NINJA loans) led to mass defaults. The rule ensures lenders actually verify that borrowers can afford to repay, protecting both borrowers and the financial system.

Q7: Under HMDA, which of the following is reported as a 'denial' of an application?

- A. The application was withdrawn by the borrower
- B. The borrower was approved but chose not to close
- ✓ **C. The lender denied the application for credit**
- D. The borrower asked for a counteroffer

Explanation: HMDA action taken codes include: (1) Loan originated, (2) Application approved but not accepted, (3) Application denied, (4) Application withdrawn, (5) File closed for incompleteness, (6) Loan purchased. Only code 3 represents a denial — when the lender makes a credit decision to not lend.

Q8: Under FCRA, what is a 'consumer report'?

- A. A report the consumer files about a lender
- ✓ **B. A communication by a consumer reporting agency bearing on a consumer's creditworthiness, used in determining eligibility for credit, insurance, employment, or other purposes**
- C. A bank statement provided by the borrower
- D. An income verification report

Explanation: Under FCRA, a consumer report is a communication by a CRA that bears on a consumer's creditworthiness, credit standing, credit capacity, character, general reputation, personal characteristics, or mode of living, used in determining eligibility for credit, insurance, employment, or other permitted purposes.

Q9: What is the SAFE Act's 'unique identifier' requirement designed to prevent?

A. Identity theft of borrowers

✓ **B. MLOs operating anonymously without accountability, allowing consumers and regulators to track MLOs across employers and verify their licensing status**

C. Duplicate NMLS accounts

D. Interest rate fraud

Explanation: The NMLS Unique Identifier requirement ensures that each MLO is permanently identifiable. This allows consumers to verify an MLO's license status, regulators to track MLOs across employers, and enforcement authorities to build a complete picture of an MLO's history, regardless of how many companies they've worked for.

Q10: Under HOEPA, which of the following practices is prohibited for high-cost mortgages?

A. Requiring title insurance

✓ **B. Charging prepayment penalties after the first year for high-cost mortgages secured by a principal dwelling**

C. Requiring an escrow account

D. Offering a fixed interest rate

Explanation: HOEPA (as amended by Dodd-Frank) prohibits prepayment penalties on high-cost mortgages if they apply after the first 36 months (3 years). It also prohibits balloon payments in loans under 5 years, negative amortization, asset-based lending without income consideration, and other harmful practices.

Q11: What is 'fair lending' and which laws govern it?

A. A requirement to offer loans at below-market rates

✓ **B. Anti-discrimination principles in credit governed primarily by the Fair Housing Act, ECOA, and the Equal Credit Opportunity Act**

C. Only applicable to government-backed loans

D. Only applicable to purchase transactions

Explanation: Fair lending refers to the requirement that lenders treat all creditworthy applicants equally without regard to race, color, religion, national origin, sex, marital status, age, familial status, disability, or receipt of public assistance. Primary laws: Fair Housing Act, ECOA (Regulation B), and the Community Reinvestment Act.

Q12: Under RESPA, which of the following is exempt from RESPA's coverage?

A. A 30-year fixed-rate first mortgage on a single-family home

✓ **B. A commercial real estate loan on a shopping center**

C. An FHA home purchase loan

D. A conventional refinance of a 1-4 family home

Explanation: RESPA covers 'federally related mortgage loans' secured by 1-4 family residential dwellings. Commercial real estate loans (office buildings, shopping centers, apartment complexes with 5+ units) are NOT covered by RESPA, even if they are federally related in some way.

Q13: The purpose of the TRID 'Loan Estimate' is to:

- A. Lock in the final loan terms
- ✓ **B. Provide a standardized 3-page disclosure of key loan terms, estimated costs, and projected payments within 3 business days of application so borrowers can comparison shop**
- C. Approve or deny the loan application
- D. Replace the underwriting decision

Explanation: The Loan Estimate (LE) gives borrowers a standardized view of estimated loan costs and terms in a format that makes it easy to compare offers from multiple lenders. It must be provided within 3 business days of application and is designed to help borrowers understand and shop for mortgage loans.

Q14: Under TILA, what are 'prepaid finance charges'?

- A. Interest paid in advance to reduce the rate
- ✓ **B. Finance charges paid separately (before or at closing) rather than financed into the loan, including origination fees, points, and certain other lender fees**
- C. Escrow deposits for future tax payments
- D. Title insurance premiums

Explanation: Prepaid finance charges are TILA-regulated fees paid at or before consummation that are not part of the regular loan payment stream. Examples include origination fees, points, loan processing fees, and similar charges. They reduce the 'amount financed' on the TILA disclosure and are included in the APR calculation.

Q15: What is the 'Gramm-Leach-Bliley Act' (GLBA) 'safeguards rule'?

- A. A rule limiting loan amounts
- ✓ **B. A requirement that financial institutions implement information security programs to protect customers' non-public personal information from unauthorized access or disclosure**
- C. A rule governing loan officer compensation
- D. A requirement for lenders to offer multiple products

Explanation: The GLBA Safeguards Rule requires financial institutions to develop, implement, and maintain a comprehensive information security program designed to: (1) ensure the security and confidentiality of customer records, (2) protect against anticipated threats to security, and (3) protect against unauthorized access that could harm customers.

Q16: What does it mean for a lender to 'cure' a TRID violation related to tolerance exceedances?

- A. Cancelling the loan
- ✓ **B. Refunding to the borrower any amount by which the charged fee exceeded the applicable tolerance, within 60 calendar days of consummation**
- C. Issuing a revised Loan Estimate
- D. Reducing the interest rate to compensate

Explanation: To cure a tolerance violation, the lender must refund the excess amount to the borrower within 60 calendar days of consummation. For example, if a zero-tolerance fee increased by \$200, the lender must refund \$200. This cures the violation and restores compliance.

Q17: Under TILA, what is the 'introductory rate' disclosure requirement for ARM advertisements?

A. No disclosure of introductory rates is required

✓ **B. If an ARM advertisement features an introductory or 'teaser' rate, it must clearly state how long the rate is effective and the APR for the loan**

C. Only the APR must be disclosed, not the introductory rate

D. The introductory rate must be the same as the APR

Explanation: Regulation Z's ARM advertising rules require that if an introductory rate is advertised, the ad must clearly and conspicuously state: the introductory rate period, that the rate is not permanent, and the APR for the loan. This prevents consumers from being misled by teaser rates.

Q18: What is the 'Community Reinvestment Act' (CRA) and how does it relate to mortgage lending?

A. It requires lenders to make charitable donations

✓ **B. It requires federally insured depository institutions to serve the credit needs of their entire community, including low- and moderate-income areas, encouraging mortgage lending in underserved communities**

C. It mandates interest rate caps in low-income areas

D. It prohibits lending in high-income neighborhoods

Explanation: The CRA (1977) requires federally insured banks to meet the credit needs of the entire community they serve, including LMI (low- and moderate-income) areas. CRA exams evaluate lending, investment, and service activities. Strong CRA performance can facilitate bank mergers; poor performance can block them.

Q19: Under HMDA, who must disclose their racial/ethnic and gender data?

A. The MLO

✓ **B. The applicant (and co-applicant if any), with collection required even if the applicant declines to provide it (MLO records from observation)**

C. Both the MLO and the applicant

D. Only minority applicants

Explanation: HMDA requires collection of demographic data for the applicant (and co-applicant): race, ethnicity, and sex. Applicants may choose not to provide it (or provide only some), but the MLO must note if information was not provided and, for applications taken in person, may record based on visual observation or surname.

Q20: What is a 'higher-priced mortgage loan' (HPML) under Regulation Z?

A. Any loan above the conforming limit

✓ **B. A closed-end consumer mortgage with an APR exceeding the Average Prime Offer Rate (APOR) by 1.5% or more for first liens (or other specified margins for junior liens)**

C. Any loan with points and fees above 3%

D. Any loan requiring PMI

Explanation: HPMLs are closed-end consumer mortgages where the APR exceeds APOR by: 1.5%+ for first-lien loans (not jumbo), 2.5%+ for first-lien jumbo loans, 3.5%+ for subordinate lien loans. HPMLs have additional consumer protections including mandatory escrow for taxes/insurance (first liens) and appraisal requirements.

Q21: What is 'churning' of credit reports?

A. Ordering multiple credit reports to find the best score

✓ **B. When a lender repeatedly pulls a borrower's credit report to keep it current without a valid business purpose — this can unnecessarily damage the consumer's credit score**

C. A process for improving credit scores

D. The practice of disputing all negative items

Explanation: Repeatedly pulling credit reports without a legitimate purpose can harm consumers by generating hard inquiries that lower credit scores. Lenders should pull credit only when needed (at application and sometimes before closing). Pulling credit without the consumer's permission or a permissible purpose also violates FCRA.

Q22: What is 'redlining' versus 'reverse redlining' in modern enforcement?

A. Both are the same practice

✓ **B. Redlining = refusing to lend in minority areas; reverse redlining = targeting minority areas with predatory/high-cost products. Both are illegal forms of discrimination.**

C. Redlining is legal; reverse redlining is not

D. Neither is illegal under current law

Explanation: Traditional redlining (refusing to serve minority communities) and reverse redlining (targeting them with exploitative products) are both illegal under the Fair Housing Act and ECOA. Modern enforcement focuses on both: geographic lending patterns that suggest avoidance and pricing disparities that suggest exploitation.

Q23: Under RESPA, what is the 'Section 5 disclosure'?

A. The escrow analysis statement

✓ **B. The requirement to provide the CFPB's 'Your Home Loan Toolkit' consumer booklet to purchase mortgage applicants within 3 business days**

C. The affiliated business arrangement disclosure

D. The servicing transfer notice

Explanation: RESPA Section 5 requires lenders to provide the CFPB's 'Your Home Loan Toolkit' (formerly the Special Information Booklet) to applicants for purchase money mortgage loans within 3 business days of application. It helps borrowers understand the homebuying and settlement process.

Q24: What is 'TRID tolerance cure' and when can it be used?

A. A method for borrowers to dispute charges

✓ **B. When a lender discovers that fees on the Closing Disclosure exceed the applicable tolerances from the Loan Estimate, a cure involves refunding the excess to the borrower within 60 days of consummation**

C. A tool for lenders to revise the Loan Estimate

D. A waiver process for TRID violations

Explanation: If fees at closing exceed the applicable TRID tolerances, lenders can 'cure' the violation by refunding the difference to the borrower within 60 calendar days after consummation. For example, if a zero-tolerance fee was \$500 on the LE but \$700 on the CD, the lender must refund \$200 to cure.

Q25: Under Regulation Z, 'loan originator compensation' rules prohibit which of the following?

A. MLOs receiving any compensation

✓ **B. Compensation based on loan terms other than loan amount (e.g., bonuses for originating higher-rate loans or specific products), which creates incentives for steering**

C. Lenders paying MLOs a salary

D. Processing fees charged to borrowers

Explanation: Regulation Z's MLO compensation rules prohibit: (1) compensation based on loan terms other than loan amount (prevents steering incentives), (2) receiving compensation from both the borrower and the lender on the same transaction, and (3) compensation arrangements with certain conflicts of interest.

Q26: What is the 'SAFE Act' test failure policy for the national exam?

A. No limit on attempts — can retake immediately every time

✓ **B. After each failure, a 30-day waiting period; after three consecutive failures, a 6-month waiting period before retaking**

C. Two attempts allowed per year

D. Automatic license denial after any failure

Explanation: SAFE Act rules for the national exam: candidates must wait 30 days after each failed attempt before retesting. After three consecutive failures, they must wait at least 6 months before the next attempt. The same 30-day wait applies to each subsequent failure after the 6-month period.

Q27: What is a 'HECM' reverse mortgage?

A. A Home Equity Credit Management loan

✓ **B. A Home Equity Conversion Mortgage — the FHA-insured reverse mortgage program for homeowners 62+ that allows equity conversion without monthly payments**

C. A HELOC with a 10-year draw period

D. A home equity loan with an adjustable rate

Explanation: HECM (Home Equity Conversion Mortgage) is the FHA-insured reverse mortgage program. Eligible borrowers must be 62+, own their home outright or have significant equity, and occupy the home as a primary residence. No monthly payments are required; the loan is repaid when the borrower moves, sells, or dies.

Q28: What is a 'USDA Guaranteed loan' vs. a 'USDA Direct loan'?

A. They are the same product with different names

✓ **B. A Guaranteed loan is originated by an approved lender with USDA guaranteeing against default; a Direct loan is funded directly by the USDA government for very low-income borrowers**

C. A Guaranteed loan has a guarantee fee; a Direct loan does not

D. A Direct loan is for rural commercial properties

Explanation: USDA Section 502 Guaranteed loans are originated by USDA-approved lenders and guaranteed against default by USDA. Section 502 Direct loans are funded and serviced directly by USDA, targeting very low-income rural borrowers who cannot obtain conventional financing. Direct loans offer lower rates and terms than guaranteed loans.

Section 2: General Mortgage Knowledge

Q29: What is a 'construction-to-permanent loan'?

- A. A loan for purchasing an existing property that needs major repairs
- ✓ **B. A single-close financing solution that funds construction and then automatically converts to a permanent mortgage upon completion**
- C. A two-step process requiring separate construction and permanent loan applications and closings
- D. A loan for commercial construction

Explanation: A construction-to-permanent (C2P or 'one-time close') loan provides funds for home construction with a single application and closing. During construction, interest-only payments are made on the drawn funds. Upon completion, the loan automatically converts to a permanent mortgage without a second closing.

Q30: What is 'gap insurance' or 'mortgage protection insurance' different from PMI?

- A. They are the same thing
- ✓ **B. Mortgage protection insurance pays off or reduces the mortgage balance if the borrower dies or becomes disabled; PMI protects the lender against borrower default**
- C. Gap insurance is for investment properties only
- D. Mortgage protection insurance is required by all lenders

Explanation: Mortgage protection insurance (MPI) is a life insurance product that pays off the mortgage if the borrower dies — it protects the borrower's family, not the lender. PMI protects the LENDER if the borrower defaults when LTV exceeds 80%. MPI is optional; PMI is required by lenders for high-LTV conventional loans.

Q31: What is 'tenancy in common' vs 'joint tenancy' in property ownership?

- A. They are the same type of ownership
- ✓ **B. Tenancy in common allows different ownership percentages with no survivorship; joint tenancy has equal shares with right of survivorship (interest passes to surviving co-owners, not heirs)**
- C. Tenancy in common is for married couples; joint tenancy is for business partners
- D. Joint tenancy requires equal mortgage payments

Explanation: In tenancy in common, co-owners may hold unequal shares, and each owner's interest passes to their heirs upon death. In joint tenancy (with right of survivorship), all co-owners hold equal shares, and if one dies, their share automatically passes to the surviving co-owner(s), not to the deceased's heirs.

Q32: What is a 'deed of trust' and how does it differ from a mortgage?

- A. They are identical instruments
- ✓ **B. A deed of trust involves three parties (trustor, trustee, beneficiary) and allows non-judicial foreclosure in most states; a traditional mortgage involves two parties and typically requires judicial foreclosure**
- C. A deed of trust is only used for commercial loans
- D. A mortgage is faster to foreclose than a deed of trust

Explanation: In a deed of trust, the borrower (trustor) transfers title to a neutral third party (trustee) to hold as security for the lender (beneficiary). If the borrower defaults, the trustee can conduct a non-judicial foreclosure (trustee's sale), which is faster than judicial foreclosure. Many states use deeds of trust instead of mortgages.

Q33: What is 'flood zone determination' in the mortgage process?

A. The lender's assessment of flood risk

✓ **B. The process of determining whether a property is located in a FEMA Special Flood Hazard Area (SFHA), which triggers federal flood insurance requirements for federally backed loans**

C. A state tax assessment for flood-prone properties

D. An environmental report on the property

Explanation: Federal law (Flood Disaster Protection Act) requires federally regulated lenders to determine whether a property is in an SFHA using FEMA flood maps before making a loan. If in an SFHA, the borrower must obtain flood insurance (NFIP or private equivalent) as a condition of the federally backed mortgage.

Q34: What is 'mortgage backed security' (MBS)?

A. A security deposit on a mortgage application

✓ **B. A financial instrument backed by a pool of mortgage loans, allowing investors to purchase shares of mortgage interest and principal payments**

C. A government bond secured by mortgage payments

D. A lender's security interest in a mortgaged property

Explanation: An MBS (mortgage-backed security) is created when a pool of mortgage loans is packaged together and sold to investors as securities. Investors receive a portion of the monthly principal and interest payments from the underlying mortgages. Agency MBS (Fannie, Freddie, Ginnie) are the most common.

Q35: What is 'interest rate risk' for mortgage lenders?

A. The risk that borrowers will default on their loans

✓ **B. The risk that rising interest rates will reduce the value of fixed-rate mortgage assets held in portfolio, or that rate decreases will cause prepayment surge, disrupting projected cash flows**

C. The risk that the property loses value

D. The risk that the borrower's income will decrease

Explanation: Interest rate risk for mortgage lenders occurs in two directions: (1) if rates rise, the value of fixed-rate loans in portfolio declines (their below-market rates are less valuable), and (2) if rates fall significantly, borrowers refinance en masse (prepayment risk), disrupting the lender's projected income stream.

Q36: What is the difference between 'prepaids' and 'closing costs' on the Closing Disclosure?

A. They are the same category of expenses

✓ **B. Prepaids are funds paid in advance for ongoing property expenses (prepaid interest, insurance premiums, property tax deposits); closing costs are fees for services rendered in connection with the transaction**

C. Prepaids are paid by the seller; closing costs are paid by the buyer

D. Prepaids are tax deductible; closing costs are not

Explanation: Prepaids (Section F and G on the Closing Disclosure) are items paid in advance for future expenses: prepaid interest (from closing to end of month), hazard insurance premium (usually 12 months), and initial escrow deposit (property taxes and insurance). Closing costs are fees for services: appraisal, origination, title, etc.

Q37: What is a 'non-warrantable condominium'?

- A. A condo that has not received a building permit
- ✓ B. A condo that does not meet Fannie Mae/Freddie Mac (or FHA/VA) guidelines for condominium financing, which may be due to high investor concentration, litigation, inadequate reserves, or commercial space
- C. A condo with structural defects
- D. A condo in an urban area

Explanation: A non-warrantable condo fails to meet GSE or government agency guidelines. Common reasons include: more than 35-50% investor/non-owner-occupied units, pending or active litigation involving the HOA, inadequate reserves (less than 10% of annual budget), excessive commercial space, or project structure issues.

Q38: What is 'loss mitigation' in mortgage servicing?

- A. Insurance against property value loss
- ✓ B. The process by which mortgage servicers work with delinquent borrowers to avoid foreclosure, including loan modifications, forbearance plans, repayment plans, short sales, and deeds in lieu
- C. Protecting the lender against natural disaster losses
- D. Reducing the loss from rate changes

Explanation: Loss mitigation refers to alternatives to foreclosure that servicers must consider for delinquent borrowers. CFPB servicing rules (Regulation X) require servicers to evaluate borrowers for loss mitigation options before proceeding with foreclosure. Options include: loan modification, forbearance, repayment plan, short sale, or deed in lieu.

Q39: What is 'cross-default' in lending?

- A. When two borrowers default simultaneously
- ✓ B. A provision in a loan agreement stating that default on one loan also triggers default on another loan from the same lender, allowing the lender to accelerate all loans simultaneously
- C. When a guarantor defaults instead of the primary borrower
- D. When a property is used as collateral for multiple loans

Explanation: Cross-default provisions link multiple loans so that default on one triggers default on others. For example, if a borrower with both a first mortgage and a HELOC defaults on the HELOC, the cross-default clause may allow the first mortgage lender to accelerate their loan as well.

Q40: What is 'seller-paid closing costs' or 'seller concessions'?

- A. The seller reducing the purchase price
- ✓ B. Credits from the seller toward the buyer's closing costs, limited by loan program guidelines (e.g., FHA 6%, conventional 3-6%)
- C. The seller paying the buyer's down payment
- D. The seller paying the buyer's PMI

Explanation: Seller concessions are contributions from the seller toward the buyer's closing costs and prepaids. Each loan program limits concessions: conventional loans allow 3-6% (based on LTV), FHA allows 6%, VA allows 4% plus reasonable/customary costs, USDA allows 6%. Concessions reduce the buyer's cash needed at closing.

Q41: What is 'mortgage note' and what does it represent?

A. A note the lender provides to the borrower about interest rates

✓ **B. A legal promissory note signed by the borrower at closing, evidencing the debt and the promise to repay according to the loan terms**

C. A note kept in the borrower's file

D. The appraisal report for the property

Explanation: The promissory note (mortgage note) is the borrower's written promise to repay the loan under specified terms (amount, interest rate, payment schedule, maturity date). It is the primary evidence of the debt. The deed of trust or mortgage is the security instrument pledging the property as collateral.

Q42: What is 'rate buydown' in mortgage lending?

✓ **A. Paying fees to permanently or temporarily reduce the interest rate below the market rate**

B. A federal program subsidizing mortgage rates

C. Reducing the rate by extending the loan term

D. A lender reducing the rate to win a borrower's business

Explanation: A rate buydown involves paying discount points (either by the borrower, seller, or builder) to permanently reduce the interest rate (permanent buydown), or paying to reduce the rate for an initial period only (temporary buydown, like a 2-1 buydown where the rate is 2% below market in year 1, 1% below in year 2, then market rate thereafter).

Q43: What is 'Regulation B' notification requirement for approved credit?

A. Lenders must always provide a written approval letter

✓ **B. For approved credit on the terms requested, a written notice of approval is not required (though lenders may provide one); approval through consummation of the credit transaction satisfies the notification requirement**

C. All approvals require written notification within 7 days

D. Approvals only require verbal notification

Explanation: Under ECOA (Regulation B), if an application is approved as requested and the applicant accepts, no additional written approval notice is required — the consummation of the credit itself satisfies the notification requirement. Written approval notices are required for applicants who don't proceed and for counteroffers/incomplete applications.

Q44: What is a 'tri-merge' credit report?

A. A credit report showing three years of history

✓ **B. A single credit report that combines data from all three major credit bureaus (Equifax, TransUnion, Experian), showing a comprehensive view of the borrower's credit history**

C. A credit report used for three co-borrowers

D. A report that merges credit, employment, and income data

Explanation: A tri-merge credit report combines credit data from all three major credit reporting agencies (Equifax, TransUnion, Experian) into a single report. For mortgage qualifying, lenders typically use the middle of the three scores. This provides a comprehensive view of the borrower's credit history from multiple reporting perspectives.

Q45: What is a 'non-occupant co-borrower'?

- A. A co-borrower who sometimes lives in the property
- ✓ B. A person who co-signs the mortgage and is equally responsible for the debt but does not intend to occupy the property as a primary residence — often used to strengthen an application
- C. A co-borrower who defaults on the loan
- D. A borrower who moves out during the loan term

Explanation: A non-occupant co-borrower (NOCB) is on the loan and responsible for the debt but does not occupy the property. Their income and credit can be used to help qualify. Some programs (like FHA 3.5% down) allow NOCBs; others restrict usage. The occupying borrower must still meet minimum qualification standards.

Q46: What is 'title seasoning' required in some loan programs?

- A. The age of the property title
- ✓ B. A requirement that a seller must have owned (held title to) a property for a minimum period before selling it to a buyer using certain financing
- C. The process of updating title insurance
- D. A title company fee based on time in escrow

Explanation: Some lenders and loan programs require that the property seller has owned the property for a minimum period before the sale. For example, FHA has property flipping restrictions requiring sellers to have owned the property for at least 90 days (with additional restrictions at 91-180 days). This prevents fraudulent flip schemes.

Q47: What is the purpose of the 'flood zone certification'?

- A. To certify the property is flood-free
- ✓ B. To determine and document whether a property is in a FEMA Special Flood Hazard Area, which is required by federal law for federally backed mortgages
- C. To certify the property has flood insurance
- D. To assess the flood damage history of the property

Explanation: Federal law requires federally regulated lenders to determine and certify whether a mortgaged property is located in a FEMA-designated SFHA. This determination is made using FEMA's Flood Insurance Rate Maps (FIRM). Properties in SFHAs require flood insurance as a condition of the federally backed loan.

Q48: What is a 'non-arm's length transaction' in real estate?

- A. A transaction conducted entirely online
- ✓ B. A transaction where the buyer and seller have a pre-existing relationship (e.g., family members, employer/employee, business associates) that could affect the terms of the sale
- C. Any commercial real estate transaction
- D. A transaction that closes in less than 30 days

Explanation: Non-arm's length transactions involve related parties where the relationship may influence the transaction terms. Examples: family sales, employer selling to employee, business partners. Lenders treat these transactions more carefully because the purchase price may not reflect true market value, and fraud potential is higher.

Q49: What is the 'Three-Day Rule' for Closing Disclosures under TRID?

- A. The closing must occur within 3 days of the Loan Estimate
- ✓ **B. The borrower must receive the Closing Disclosure at least 3 business days before consummation to allow adequate review time**
- C. The lender has 3 days to issue the CD after receiving all closing documents
- D. The title company must provide the CD 3 days before the scheduled closing

Explanation: Under TRID, the borrower must RECEIVE the Closing Disclosure at least 3 business days before consummation. 'Business days' for this rule means all calendar days except Sundays and federal public holidays. If the CD is mailed, 3 additional calendar days for mailing are added.

Q50: What is 'correspondent lending' versus 'retail lending'?

- A. Correspondent lending uses online applications; retail uses paper applications
- ✓ **B. In retail lending, the lender directly markets to and takes applications from consumers; in correspondent lending, the lender purchases already-originated loans from smaller lenders**
- C. Correspondent lending is for commercial loans only
- D. Retail lending requires more staff than correspondent

Explanation: In retail lending, the financial institution (bank, mortgage company) directly originates loans by marketing to and working with borrowers. In correspondent lending, the institution purchases loans that have already been originated and closed by other (correspondent) lenders, providing them with capital and buying their production.

Q51: What is the difference between a 'fixed-rate mortgage' and a 'variable-rate mortgage'?

- A. A fixed-rate mortgage is for purchase; variable is for refinance
- ✓ **B. A fixed-rate mortgage maintains the same interest rate for the entire loan term; a variable-rate (ARM) mortgage has an interest rate that can change after an initial period based on an index**
- C. Fixed-rate mortgages are only available for 30-year terms
- D. Variable-rate mortgages have lower APRs

Explanation: A fixed-rate mortgage has the same interest rate and monthly principal and interest payment for the entire loan term (e.g., 10, 15, 20, or 30 years). An ARM has an initial fixed period, after which the rate adjusts periodically based on an index. ARMs typically start with lower rates but carry the risk of future rate increases.

Q52: What is the 'debt service coverage ratio' (DSCR) and for what type of loans is it used?

- A. The same as DTI — used for all loans
- ✓ **B. A ratio of a property's net operating income to its debt service, primarily used for investment property and commercial real estate loans**
- C. A ratio used only for VA loans
- D. A ratio of assets to debt service

Explanation: $DSCR = \text{Net Operating Income (NOI)} / \text{Annual Debt Service (total mortgage payments)}$. A DSCR above 1.0 means the property generates more income than needed to cover debt payments. It is used for income-producing investment properties (1-4 unit rentals, commercial real estate). Non-QM 'DSCR loans' qualify investors based on property income rather than personal income.

Q53: What is a 'buydown agreement' in new home construction?

- A. An agreement for the buyer to buy down the sales price
- ✓ **B. An agreement (typically from the builder) to pay discount points to temporarily or permanently reduce the buyer's interest rate, making the home more affordable**
- C. An agreement for the buyer to return the property
- D. A contract clause reducing the price if the home takes too long to build

Explanation: Builders often pay for temporary or permanent buydowns as sales incentives. A 2-1 buydown (paid by the builder) reduces the buyer's rate by 2% in year 1, 1% in year 2, and then reverts to the full market rate in year 3+. This is an alternative to simply reducing the home's price.

Q54: What is the significance of the 'date of application' under TRID?

- A. Only the closing date matters under TRID
- ✓ **B. It starts the clock for the 3-business-day Loan Estimate delivery requirement; once all 6 pieces of application information are received, the LE must be delivered or mailed within 3 business days**
- C. It determines which property tax year applies
- D. It starts the 30-day adverse action notice window

Explanation: The date of application under TRID is the date the lender receives all 6 required pieces of information (borrower name, income, SSN, property address, estimated value, loan amount). From this date, the lender has 3 business days to deliver or mail the Loan Estimate.

Q55: What is the ethical obligation of an MLO when they cannot complete a loan they started?

- A. Simply stop working on the loan without notification
- ✓ **B. Promptly notify the borrower, explain the situation, and help them understand their options (including referrals to other lenders) so they are not harmed by the delay**
- C. Complete the loan by any means necessary
- D. Wait until the file is assigned to someone else

Explanation: If an MLO cannot complete a loan (due to leaving the company, inability to fund, or other issues), they have an ethical obligation to promptly notify the borrower, provide enough information for the borrower to continue the process, and assist in transferring or referring the file to minimize harm.

Q56: What is the ethical issue with 'channeling' borrowers to higher-rate products when they qualify for lower rates?

- A. It benefits the lender so it is acceptable
- ✓ **B. It constitutes steering — directing borrowers to more costly products than they qualify for, which is both unethical and potentially a fair lending violation**
- C. It is only problematic if based on race
- D. It is standard pricing practice

Explanation: Channeling borrowers to higher-cost products when they qualify for better terms is steering — a form of discriminatory or predatory practice. When done based on protected class characteristics, it is a fair lending violation. Even when not based on protected class, steering to higher-cost products violates UDAAP ethical standards.

Section 3: Loan Origination Activities

Q57: What does 'professional responsibility' mean for an MLO?

- A. Completing applications accurately regardless of ethics
- ✓ **B. The obligation to act competently, ethically, and in the best interest of clients — including disclosing relevant information, recommending suitable products, and avoiding conflicts of interest**
- C. Being responsible only for their own actions, not those of their employer
- D. Only being responsible for the accuracy of disclosures

Explanation: Professional responsibility for MLOs encompasses: competence (knowing the products and laws), integrity (honest and accurate representation), client-centered service (recommending suitable products), disclosure (being transparent about all material information), confidentiality (protecting borrower information), and avoiding conflicts of interest.

Q58: What is 'misrepresentation by omission' in mortgage lending?

- A. Forgetting to include information on the application
- ✓ **B. Failing to disclose material information that the borrower would want to know, even if not directly asked — can be as harmful as active misrepresentation**
- C. Accidentally submitting an incomplete application
- D. Omitting one document from the loan file

Explanation: Misrepresentation by omission occurs when an MLO fails to disclose material information that would affect a borrower's decision. For example: not disclosing that a rate is adjustable, not mentioning prepayment penalties, or failing to inform a borrower they might qualify for a cheaper product. This is both unethical and potentially fraudulent.

Q59: What is a 'conflict of interest' policy and why do lenders have them?

- A. A policy to resolve disputes between lenders
- ✓ **B. A policy that identifies situations where an MLO's personal interests might conflict with the borrower's best interests, and procedures to manage or disclose such conflicts**
- C. A policy about competing lenders
- D. A policy for handling complaints

Explanation: Conflict of interest policies identify situations where personal interests (financial relationships with service providers, investments in competing companies, referral arrangements) could compromise the MLO's duty to act in the borrower's best interest. Proper policies require disclosure and recusal in appropriate cases.

Q60: What is 'suitability' in the mortgage context and what does it require?

- A. Ensuring the property is suitable for the borrower's family size
- ✓ **B. Recommending loan products that are genuinely appropriate for the borrower's financial situation, risk tolerance, and long-term interests — not just any product the borrower qualifies for**
- C. Checking that the borrower has suitable credit
- D. Ensuring the borrower suits the loan program

Explanation: Suitability requires matching loan products to borrowers' actual needs and circumstances. An MLO has an ethical duty to recommend suitable products: a fixed-rate loan for a risk-averse borrower with long-term plans, not an ARM; a 15-year term for someone who can afford it and wants to build equity faster; appropriate loan types for specific situations.

Q61: What is 'whistle-blowing' in the mortgage context and what protections exist?

A. A form of advertising

✓ **B. Reporting suspected fraud or regulatory violations to regulators or law enforcement — protected under Dodd-Frank and other whistleblower protection laws**

C. Calling other lenders for rate quotes

D. Making public complaints about a lender

Explanation: Whistleblowing involves reporting suspected fraud, violations, or unethical conduct to regulatory authorities. Dodd-Frank provides significant protections and financial incentives for whistleblowers who report violations to the SEC, CFTC, or CFPB. State laws also protect employees who report employer violations.

Q62: What is 'dual representation' and why must it be avoided or disclosed?

A. Working at two different lenders

✓ **B. Representing both the borrower and the lender's interests in a transaction — creates irreconcilable conflicts of interest that compromise the MLO's duty to each party**

C. Using two different loan programs for one transaction

D. Handling both purchase and refinance loans

Explanation: Dual representation occurs when an MLO (or attorney) represents conflicting interests — e.g., trying to serve both the lender (who wants the safest loan) and the borrower (who wants the best terms). This conflict makes it impossible to fully serve either party. Where it exists, it must be disclosed and consented to by all parties.

Q63: What is the MLO's ethical duty when they discover that the property value used in a previous appraisal was fraudulently inflated by a prior owner to take cash out?

A. Ignore it — the current transaction is separate

✓ **B. Disclose the issue to the lender and potentially file a SAR if the evidence suggests fraud**

C. Proceed with the current loan if the new appraisal supports the value

D. Tell only the borrower and let them decide whether to proceed

Explanation: Discovering prior fraud related to a property creates disclosure obligations. The MLO should inform the lender's compliance department and, if there is evidence of ongoing fraud impacting the current transaction, consider filing a SAR. Proceeding while knowing of fraud could make the MLO complicit.

Q64: What is the primary function of state mortgage licensing authorities?

A. To set interest rates in the state

✓ **B. To license and supervise non-bank mortgage companies and their MLOs, enforcing state mortgage laws and protecting consumers**

C. To manage the NMLS database

D. To regulate banks and savings associations

Explanation: State mortgage licensing authorities (usually a division of the Department of Financial Institutions or similar agency) license, examine, and supervise non-bank mortgage companies and MLOs, enforce state mortgage statutes, investigate complaints, and take disciplinary action against violators.

Q65: When can a state licensing authority suspend an MLO's license without prior notice (emergency suspension)?

- A. Whenever they believe the MLO is underperforming
- ✓ **B. When there is an immediate threat to public safety, significant risk of consumer harm, or clear and ongoing fraudulent activity that requires immediate action**
- C. Only after a formal hearing
- D. Only when requested by federal regulators

Explanation: Most states allow emergency license suspension without prior notice when there is immediate threat to public welfare or clear evidence of ongoing fraud. The emergency suspension is typically followed promptly by a formal hearing where the MLO can present their case. Immediate action prevents ongoing consumer harm.

Q66: What is the NMLS 'deficiency' process when an application is incomplete?

- A. The application is automatically rejected
- ✓ **B. The state licensing authority issues a notice of deficiency identifying missing information or documents, giving the applicant a specific time period to provide them**
- C. The application is held indefinitely
- D. The applicant automatically fails

Explanation: When an MLO license application is incomplete, the state typically issues a deficiency notice identifying exactly what is missing (documentation, fee, education certificates, etc.). The applicant must provide the missing information within the specified time (often 30-60 days) or the application may be deemed abandoned.

Q67: What is the 'examination' of a licensed mortgage company by state regulators?

- A. The test MLOs must pass to get licensed
- ✓ **B. A regulatory examination (audit) of the company's books, records, policies, and loan files to assess compliance with state and federal laws**
- C. A physical inspection of the company's office
- D. A review of the company's financial statements only

Explanation: State regulatory examinations of licensed mortgage companies involve on-site or remote review of: loan files, policies and procedures, advertising, disclosures, servicing practices, licensing of personnel, financial records, and compliance systems. Findings are documented and may result in corrective action.

Q68: What is the purpose of the 'net worth' requirement for licensed mortgage companies?

- A. To ensure the company can pay its employees
- ✓ **B. To demonstrate that the company has sufficient financial resources to conduct business, meet obligations, and provide a financial cushion against potential losses**
- C. To qualify for investment-grade credit ratings
- D. To meet SEC reporting requirements

Explanation: State-required minimum net worth for mortgage companies demonstrates financial stability and the ability to fund operations and absorb potential losses. Requirements vary by state and license type (brokers may have lower requirements than bankers). Net worth is typically verified annually through audited financial statements.

Q69: What is the consequence for an MLO who originates loans in a state without a license?

- A. Only a warning for first offense
- ✓ **B. State regulatory action including fines, cease and desist orders, and potential license denial; loans originated may be unenforceable; criminal charges possible**
- C. Only a license delay
- D. A mandatory compliance training requirement

Explanation: Operating without proper licensing is a serious violation. Consequences may include: state cease and desist orders, significant fines (often per-loan or per-day), potential criminal charges, denial of future license applications, and in some states, the unlicensed loans may be unenforceable or subject to rescission.

Q70: What does 'reciprocal licensing' mean for MLOs moving between states?

- A. Being automatically licensed in all states after passing NMLS
- ✓ **B. Some states may waive certain requirements (like retaking the national exam) for MLOs already licensed in another state, recognizing the equivalency of requirements**
- C. Federal law granting automatic multi-state licensing
- D. A special status for experienced MLOs

Explanation: True reciprocity (automatic license transfer) is rare in mortgage lending. However, states may streamline the application process for already-licensed MLOs by waiving retesting requirements or reducing education requirements. All states retain final approval authority through NMLS regardless of prior licensing.

Q71: What is a 'mortgage call report' (MCR) and when must it be submitted?

- A. A daily report of mortgage rates
- ✓ **B. A quarterly and annual financial report submitted by state-licensed mortgage companies through NMLS, providing data on loan volume, financial condition, and business activities**
- C. A weekly report to the CFPB
- D. An annual report to the Federal Reserve

Explanation: The NMLS Mortgage Call Report is submitted by state-licensed (non-bank) mortgage companies. The Standard (Residential) MCR captures residential loan production data quarterly. The Financial Condition report is submitted annually (or quarterly for some states). State regulators use MCR data to monitor company health and compliance.

Q72: What triggers an automatic license suspension for an MLO under most state laws?

- A. Missing one CE class
- ✓ **B. Failing to complete required continuing education before the license renewal deadline**
- C. Moving to a new address without updating NMLS
- D. Working remotely from home

Explanation: Many states automatically suspend or deny renewal of an MLO license if the required annual continuing education (8 hours under the SAFE Act) is not completed before the renewal deadline. The MLO cannot originate loans during the suspension and must complete the CE before reinstatement.

Q73: What information must a licensed mortgage company disclose to state regulators on a going-forward basis after initial licensure?

- A. Nothing — only initial licensure requires disclosure
- ✓ **B. Material changes (ownership, officers, branch locations), periodic financial reports, regulatory actions in other states, criminal convictions, and any other information required by state law**
- C. Only annual CE completion certificates for MLOs
- D. Only changes to their product offerings

Explanation: State-licensed mortgage companies must maintain current information in NMLS and notify regulators of material changes: ownership/principal changes, new or closed branch offices, changes to business model, regulatory actions in other states, criminal actions, and any other information states require. Ongoing disclosure ensures regulators have current information for supervision.

Q74: What is the 'test retake policy' for the NMLS national exam?

- A. Unlimited retakes at any time
- ✓ **B. 30-day waiting period after each failure; after three consecutive failures, a mandatory 6-month waiting period before the next attempt**
- C. No retakes allowed — one chance only
- D. Must wait one year between each attempt

Explanation: Under SAFE Act rules for the NMLS national exam: after each failed attempt, the candidate must wait 30 days before retesting. If a candidate fails three consecutive times, they must wait at least 6 months (180 days) before the next attempt. The 30-day wait applies to subsequent failures after the 6-month waiting period.

Q75: The Servicemembers Civil Relief Act (SCRA) provides which protection for active-duty military members with mortgages?

- A. Complete forgiveness of mortgage debt
- ✓ **B. Interest rate reduction to 6% on pre-service mortgage obligations upon written request**
- C. Automatic deferral of all mortgage payments for the deployment period
- D. VA loan eligibility regardless of prior service

Explanation: The SCRA allows active-duty servicemembers to request a reduction of their mortgage interest rate to 6% for mortgage obligations incurred before their active duty service. The servicemember must provide written notice and a copy of their military orders.

Q76: Under RESPA, 'kickback' is defined to include:

- A. Only cash payments between settlement service providers
- B. Any split of unearned fees between service providers
- C. Payments for services not actually performed
- ✓ **D. Both B and C**

Explanation: RESPA Section 8 prohibits both splits of unearned fees between providers AND payments for services not actually rendered. Both practices are kickbacks that inflate settlement costs without providing value to consumers.

Q77: Under TILA's right of rescission, Saturday is considered a business day for purposes of calculating the rescission period. TRUE or FALSE?

✓ **A. True — Saturday counts as a business day for rescission**

- B. False — Saturday is not a business day for rescission
- C. True only if the lender's offices are open on Saturday
- D. It depends on state law

Explanation: For TILA's right of rescission, 'business days' means all calendar days except Sundays and federal public holidays. Therefore, Saturday IS counted as a business day, and the 3-day period typically runs through the end of the third calendar day (excluding Sundays and holidays).

Q78: Under Dodd-Frank, which of the following is TRUE about prepayment penalties on Qualified Mortgages?

A. All QM loans can have prepayment penalties of up to 3%

✓ **B. Prepayment penalties are prohibited on all QM loans**

- C. Prepayment penalties are only allowed on QM loans with fixed rates
- D. Prepayment penalties can only be charged within the first 3 years on QM loans

Explanation: Under Dodd-Frank and the QM rule, prepayment penalties are prohibited on all standard QM loans. This is one of the consumer protection features of QM status, preventing borrowers from being penalized for refinancing or paying off their loans early.

Q79: Under ECOA, if a creditor denies an application because of information obtained from a source OTHER than a consumer reporting agency, the adverse action notice must:

A. Only cite the credit report

✓ **B. Inform the applicant they have the right to obtain the specific reasons for denial**

- C. Not be given — only CRA-based denials require notices
- D. Be filed with the CFPB

Explanation: ECOA adverse action notices must state the specific reasons for the adverse action OR inform the applicant they have the right to request the reasons within 60 days. If denial is based on non-CRA information, the lender must still disclose the basis for the denial.

Q80: The 'military indulgence' provision under SCRA means:

A. Military members get automatic loan forgiveness

✓ **B. Courts may stay foreclosure proceedings against active-duty members during their service**

- C. Banks must waive origination fees for veterans
- D. VA guarantees all loans for active-duty personnel

Explanation: The SCRA allows courts to stay (pause) legal proceedings, including foreclosure actions, against active-duty military members during their service period and up to 90 days after. This protects servicemembers from losing their homes while deployed.

Q81: A 'second mortgage' is a loan that:

- A. Can only be obtained on a second property
- ✓ **B. Is secured by the same property as the first mortgage but has subordinate lien position**
- C. Always has a lower interest rate than the first mortgage
- D. Requires a new title search

Explanation: A second mortgage is a loan secured by the same real property as the first mortgage but recorded in second (subordinate) lien position. In foreclosure, the first mortgage lender is paid first. Because of higher risk, second mortgages typically carry higher interest rates.

Q82: Which of the following is the PRIMARY risk for a lender in making a mortgage loan?

- A. Interest rate risk
- ✓ **B. Default risk — the borrower fails to make payments**
- C. Liquidity risk
- D. Regulatory risk

Explanation: Default risk (credit risk) is the primary risk in mortgage lending — the risk that the borrower will fail to repay the loan. This is why lenders evaluate income, credit history, and LTV so carefully. Interest rate, liquidity, and regulatory risks are secondary.

Q83: In mortgage lending, the 'loan-to-cost' (LTC) ratio is most commonly used in:

- A. Standard purchase transactions
- ✓ **B. Construction lending to compare the loan amount to the total construction cost**
- C. Refinance transactions
- D. Government loan programs

Explanation: LTC (Loan-to-Cost) compares the loan amount to the total project cost (land + construction costs) and is used in construction lending. LTV (Loan-to-Value) compares the loan to the appraised value after completion. Both ratios are used in construction underwriting.

Q84: Under FHA guidelines, the 'non-occupying co-borrower' is:

- A. Not permitted on FHA loans
- ✓ **B. Permitted on FHA loans with the same credit and income requirements as the primary borrower**
- C. Only allowed if they are a family member of the borrower
- D. Allowed but their income cannot be used for qualifying

Explanation: FHA loans allow non-occupying co-borrowers (people who are on the loan but don't live in the property). Their income and assets can be used for qualifying, but the LTV may be limited to 75% for non-family member non-occupant co-borrowers.

Q85: A 'payment shock' analysis is most important for which type of loan?

- A. A 30-year fixed-rate conventional loan
- ✓ **B. An interest-only ARM converting to fully amortizing principal and interest payments**
- C. An FHA loan after MIP cancellation
- D. A 15-year fixed-rate conventional loan

Explanation: Payment shock analysis is most important for interest-only ARMs that will convert to fully amortizing payments. Borrowers may face dramatically higher payments when both the rate adjusts AND amortization begins, potentially doubling or tripling the monthly payment.

Q86: An 'assumable' mortgage is one where:

- A. The lender can assume responsibility for repairs
- ✓ B. A new buyer takes over the existing mortgage and its terms without creating a new loan
- C. The borrower automatically qualifies for a new loan at closing
- D. Both parties assume joint liability for the debt

Explanation: An assumable mortgage allows a qualified buyer to take over (assume) the seller's existing mortgage with its original terms and interest rate. FHA and VA loans are assumable (with lender approval). Most conventional loans have due-on-sale clauses preventing assumption.

Section 4: Ethics

Q87: The maximum conventional loan limit set by FHFA is adjusted:

- A. Every 5 years by Congress
- ✓ B. Annually based on changes in average home prices
- C. Only when inflation exceeds 5%
- D. Never — it has been the same since 2008

Explanation: FHFA adjusts conforming loan limits annually based on the change in average home prices as measured by FHFA's House Price Index. Limits have increased significantly in recent years due to rising home values.

Q88: Which of the following describes the 'note' (promissory note) in a mortgage transaction?

- A. The document that pledges the property as collateral
- ✓ B. The written promise to repay the loan, including interest rate, payment schedule, and terms
- C. The title insurance commitment
- D. The lender's approval letter

Explanation: The promissory note is the borrower's written promise to repay the debt. It specifies the loan amount, interest rate, repayment schedule, and terms. The mortgage or deed of trust is the security instrument that pledges the property as collateral; the note is the actual promise to pay.

Q89: What is the maximum seller concession allowed on a VA loan (for items beyond customary closing costs)?

- A. 2%
- B. 3%
- ✓ C. 4%
- D. 6%

Explanation: VA loans allow seller concessions of up to 4% of the established reasonable value (NOT including items normally paid by the seller such as payoff of credit balances or judgments on behalf of the veteran). Normal closing costs (title fees, origination, etc.) are separate and not subject to the 4% cap.

Q90: The 'Loan Processor' role in mortgage origination primarily involves:

- A. Deciding whether to approve or deny the loan
- ✓ **B. Gathering and organizing borrower documentation, ordering third-party services, and preparing the file for underwriting**
- C. Negotiating loan terms with the borrower
- D. Setting the interest rate and pricing for the loan

Explanation: A loan processor (when not exercising discretion) gathers documentation, verifies information, orders appraisals and title, and organizes the file for the underwriter. Processors who exercise discretion (approve/deny decisions) may need to be licensed as MLOs.

Q91: An 'automated underwriting system' (AUS) evaluates a loan application by:

- A. Replacing all human judgment in the underwriting process
- ✓ **B. Analyzing loan data against investor guidelines and providing a risk assessment recommendation**
- C. Guaranteeing that the loan will be approved by Fannie Mae or Freddie Mac
- D. Calculating only the borrower's credit score

Explanation: AUS (like Fannie Mae's DU or Freddie Mac's LPA) analyzes multiple data points (credit, income, assets, property) against investor guidelines and provides a recommendation (Approve, Refer, etc.). AUS findings guide but don't replace the underwriter's review of documentation.

Q92: Under TRID, which of the following must be included on the Loan Estimate for an adjustable-rate loan?

- A. Only the initial rate and payment
- ✓ **B. An AIR Table (Adjustable Interest Rate) showing the maximum possible interest rate and payment**
- C. All possible future rate scenarios
- D. Only the fully indexed rate

Explanation: TRID requires ARM loan estimates to include an Adjustable Interest Rate (AIR) table showing the initial rate, payment, maximum rate possible, and maximum payment possible at any future adjustment. This helps borrowers understand worst-case scenarios.

Q93: A borrower who receives a 'cash gift' for a down payment must provide a gift letter stating all of the following EXCEPT:

- A. The dollar amount of the gift
- B. The relationship between the donor and the recipient
- C. The gift does not need to be repaid
- ✓ **D. The donor's net worth**

Explanation: Gift letters must document: the amount, the donor's name and relationship to the borrower, the property address, and a statement that the funds are a gift with no repayment required. Donors also typically must provide a bank statement showing sufficient funds. Net worth is not required.

Q94: When a borrower's debt-to-income ratio exceeds conventional guidelines, which of the following may be used as a compensating factor under Fannie Mae DU?

- A. The borrower has a high credit score with no compensating factors needed for 45% DTI
- ✓ **B. Significant post-closing liquid reserves (e.g., 12+ months PITI)**
- C. A long employment history regardless of other factors
- D. A co-borrower who is not on the title

Explanation: Under Fannie Mae DU, compensating factors for high DTI (when DTI exceeds 45%) include: substantial liquid reserves, minimal increase in housing expense, and strong credit history. Significant post-closing reserves (12+ months PITI) is a commonly cited compensating factor.

Q95: Which document transfers legal title to the property from the seller to the buyer at closing?

- A. The promissory note
- ✓ **B. The deed (grant deed, warranty deed, or quitclaim deed)**
- C. The mortgage or deed of trust
- D. The title commitment

Explanation: The deed (whether a warranty deed, grant deed, or quitclaim deed) is the legal document that transfers ownership (title) from the seller to the buyer. The deed is recorded in the public records. The mortgage/deed of trust is the security instrument, not the transfer of title.

Q96: When an MLO makes promises about loan approval or closing timelines that they cannot guarantee, they are potentially violating:

- A. Only the borrower's expectations
- ✓ **B. UDAAP — deceptive practices by making false or misleading representations**
- C. RESPA — by creating false service expectations
- D. FCRA — by making promises about credit reporting

Explanation: Making representations about loan approval or closing timelines that the MLO cannot guarantee (such as 'I'll get this closed in 10 days guaranteed') constitutes a potentially deceptive practice under UDAAP if the representations mislead the consumer.

Q97: An MLO who recommends an interest-only loan to a borrower who clearly cannot afford the principal payments once the I/O period ends is engaging in:

- A. Smart product matching for the borrower's needs
- ✓ **B. Predatory lending — recommending an unsuitable product**
- C. A legal but aggressive sales strategy
- D. Acceptable risk-based product recommendation

Explanation: Recommending a loan product that the MLO knows or should know the borrower cannot sustain long-term is predatory lending (product unsuitability). The ATR rule also requires the lender to assess repayment ability at the fully indexed rate, not just the initial I/O payment.

Q98: An MLO is approached by a 'credit repair' company that promises to remove accurate negative information from borrowers' credit reports. The MLO should:

- A. Refer all borrowers with credit issues to this company
- ✓ **B. Refuse to work with such companies — removing accurate information is illegal**
- C. Accept referral fees for sending customers to the credit repair company
- D. Allow the credit repair company to 'clean' files before submission

Explanation: Legitimate credit repair involves disputing INACCURATE information. Removing accurate negative information (such as real late payments) from credit reports is illegal under the Credit Repair Organizations Act (CROA) and FCRA. MLOs should not refer borrowers to services making such promises.

Q99: Which of the following is an example of a permissible marketing practice under RESPA?

- A. A title company purchasing advertising on an MLO's website in exchange for borrower referrals
- ✓ **B. A mortgage company providing branded promotional items of nominal value (under \$15) to referring real estate agents**
- C. A settlement service provider paying for an MLO's continuing education in exchange for referrals
- D. A lender paying for an open house in exchange for referrals from the listing agent

Explanation: RESPA allows de minimis promotional items of nominal value that are not tied to referrals. The CFPB has generally treated items under \$15 as permitted marketing, but items conditioned on referrals or of significant value violate Section 8 regardless of amount.

Q100: Under the SAFE Act, the term 'residential mortgage loan' is defined to include all of the following EXCEPT:

- A. A loan to refinance a principal dwelling
- B. A home equity loan on a 1-4 unit property
- ✓ **C. A commercial construction loan for an apartment building with 5+ units**
- D. A purchase money loan for a single-family home

Explanation: The SAFE Act applies to residential mortgage loans secured by a dwelling (1-4 unit properties). Commercial construction loans for apartment buildings with 5+ units are commercial loans, not residential mortgage loans as defined by the SAFE Act.

Q101: Which of the following describes the NMLS 'unique identifier' disclosure requirement?

- A. MLOs must tattoo their ID number on their wrist
- ✓ **B. The NMLS ID must appear on all residential mortgage loan applications and advertising/solicitations for residential mortgage loans**
- C. The ID must be verbally recited at the start of every borrower call
- D. The ID must appear only on business cards

Explanation: The SAFE Act requires the NMLS Unique Identifier to appear on all residential mortgage loan applications and on all written (or electronic) solicitations or advertisements for residential mortgage loans. This allows consumers to verify the MLO's credentials.

Q102: When a state regulator investigates a complaint against a licensed MLO, the MLO has which obligation?

- A. The right to remain silent under the 5th Amendment with no penalty
- ✓ **B. The obligation to cooperate with the investigation and provide requested documents**
- C. The right to have the CFPB intervene on their behalf
- D. No obligation until a formal hearing is scheduled

Explanation: Licensed MLOs must cooperate with state regulatory investigations. Failure to respond to regulator inquiries or provide requested documents is itself a licensing violation that can result in additional sanctions, including license suspension or revocation.

Q103: The primary difference between a 'mortgage banker' and a 'mortgage broker' is that the banker:

- A. Is always a bank
- ✓ **B. Funds loans using its own capital (or warehouse lines) and may sell or service them after closing**
- C. Only originates FHA and VA loans
- D. Has no licensing requirements

Explanation: A mortgage banker (or direct lender/correspondent lender) funds loans with its own money or warehouse credit lines, closes loans in its own name, and can retain servicing or sell the loans. A mortgage broker matches borrowers with lenders but doesn't fund loans.

Q104: Under the SAFE Act, an MLO who has had their license revoked in one state:

- A. Can immediately apply for licensure in another state without disclosure
- ✓ **B. Must disclose the revocation when applying in any other state, and the revocation may affect other state applications**
- C. Cannot ever be licensed in any other state
- D. Can obtain a restricted license in another state within 30 days

Explanation: NMLS records all regulatory actions across states. A license revocation in one state must be disclosed in applications to all other states. State regulators review this history in making licensing decisions. It doesn't automatically bar licensure elsewhere but will certainly be scrutinized.

Q105: In which situation is an MLO's NMLS Unique Identifier NOT required to be disclosed?

- A. On a TV commercial about the MLO's mortgage services
- B. On a business card listing mortgage services
- ✓ **C. In a conversation about home prices at a dinner party with no solicitation of business**
- D. In an online advertisement for mortgage rates

Explanation: The NMLS ID requirement applies to residential mortgage loan applications and written/electronic solicitations or advertisements. A casual social conversation that does not constitute solicitation for mortgage business does not require NMLS ID disclosure.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: Which of the following describes the proper handling of a borrower who applies for a loan that the MLO believes the borrower clearly cannot afford?

- A. Proceed with the application and let underwriting make the decision
- B. Decline to take the application without explanation

✓ C. Honestly advise the borrower of the qualification concerns while taking the application if the borrower still wishes to proceed

- D. Pre-approve the borrower and let them find out at closing

Explanation: Ethical MLOs provide honest guidance to borrowers, including alerting them to qualification concerns. However, if the borrower still wishes to proceed, the MLO should generally take the application. The lender's underwriting process will make the final determination.

Q107: An MLO who sponsors their own CE (continuing education) courses to fulfill their own CE requirement is:

- A. Permitted since they authored the material

✓ B. Prohibited — MLOs cannot use CE that they authored to fulfill their own annual CE requirement

- C. Allowed but only for the first year
- D. Encouraged to share knowledge in this way

Explanation: The SAFE Act's CE requirements prohibit MLOs from using courses they developed or instructed to fulfill their own CE requirement. CE must be completed through approved, independent education providers to ensure objectivity and genuine learning.

Q108: Which of the following statements about NMLS is TRUE?

- A. NMLS directly sets licensing fees for all states

✓ B. An MLO's NMLS record includes background check results, employment history, and any disciplinary actions

- C. NMLS can revoke an MLO's license directly
- D. NMLS requires all MLOs to maintain a minimum net worth

Explanation: NMLS maintains comprehensive records for each MLO including criminal history (from background checks), employment history with all licensees, disciplinary actions from any state, financial disclosures, and license status in all states. This information is accessible to regulators and (relevant portions) to consumers.

Q109: Under which circumstances can a state-licensed MLO originate a loan in a state where they are NOT licensed?

- A. If the property is in a state adjacent to where the MLO is licensed

✓ B. In limited circumstances under temporary authority provisions for MLOs transitioning between employers or applying for a new state license

- C. Whenever the borrower resides in the MLO's licensed state
- D. Never — no exceptions exist

Explanation: The SAFE Act's temporary authority provisions allow certain MLOs to continue originating in a new state while their license application is pending, subject to specific conditions. Outside of temporary authority, MLOs must be licensed in the state where the property is located (or borrower resides, depending on state law).

Q110: The SAFE Act's testing requirement was designed to:

- A. Generate revenue for testing companies
- ✓ **B. Establish a uniform minimum knowledge standard for all state-licensed MLOs across the country**
- C. Replace the educational requirement entirely
- D. Only test MLOs who work for non-traditional lenders

Explanation: The SAFE Act's 75-question national test component (plus any state-specific component) establishes a minimum knowledge baseline for all state-licensed MLOs. This ensures that MLOs nationwide meet a consistent knowledge standard before working with consumers.

Q111: Which of the following is an example of a 'kickback' prohibited by RESPA Section 8?

- A. A title company paying a real estate agent for performing title search services
- ✓ **B. A lender paying a real estate broker \$200 per referral that results in a closed loan**
- C. An appraiser charging \$500 for a residential appraisal
- D. A credit reporting agency charging \$25 for a credit report

Explanation: RESPA Section 8 prohibits any payment (or thing of value) for the referral of settlement service business. A lender paying a real estate broker for sending borrowers is a classic RESPA kickback violation, regardless of the amount.

Q112: The 'three-day rule' for delivering the Loan Estimate requires that the LE be delivered within 3 business days of receiving an 'application.' Under TRID, a complete application consists of six elements — which of the following is NOT one of them?

- A. Borrower's name
- B. Borrower's income
- C. Borrower's Social Security number
- ✓ **D. Borrower's current credit score**

Explanation: The six elements triggering the TRID application definition are: (1) name, (2) income, (3) SSN, (4) property address, (5) estimated property value, and (6) desired loan amount. Credit score is NOT one of the six elements that triggers the application definition.

Q113: Under ECOA, a 'self-employed' borrower's income must be treated:

- A. As ineligible for mortgage qualifying
- ✓ **B. The same as any other income source — evaluated for stability, continuity, and likelihood to continue**
- C. With a mandatory 50% reduction for risk
- D. Only using the most recent year's income

Explanation: ECOA prohibits discriminating based on income source. Self-employment income must be evaluated using the same standards as employment income — stability, continuity, and likelihood to continue. Lenders typically require 2 years of tax returns to document self-employment income.

Q114: A 'piggyback' second mortgage used to avoid PMI is MOST accurately described as:

- A. An FHA loan structure
- ✓ **B. A legal financing strategy that pairs a first mortgage at or below 80% LTV with a second mortgage covering additional financing needs**
- C. A predatory lending practice
- D. Only available to borrowers with credit scores above 760

Explanation: A piggyback (or combo) loan pairs a first mortgage at 80% LTV or below (avoiding PMI requirement) with a second mortgage for additional financing. Common structures include 80/10/10, 80/15/5, or 80/20. These are legitimate conventional financing strategies.

Q115: Which of the following is TRUE about the FHA 203(k) Rehabilitation Loan?

- A. It is exclusively for commercial properties
- ✓ **B. It allows borrowers to finance both the purchase (or refinance) of a home AND renovation costs in a single FHA loan**
- C. It requires a minimum renovation budget of \$100,000
- D. It is only for new construction

Explanation: The FHA 203(k) program allows buyers (or refinancing homeowners) to include renovation costs in a single FHA loan. There is a Limited 203(k) for repairs under \$35,000 and a Standard 203(k) for larger projects requiring a HUD consultant.

Q116: Which type of income is considered most stable for mortgage qualifying purposes?

- A. Overtime and bonus income
- B. Commission income
- ✓ **C. Base salary from a W-2 employer**
- D. Self-employment income

Explanation: Base salary from a W-2 employer is considered most stable because it is regular, consistent, and not subject to the variability of commissions, bonuses, or business performance. Variable income types (overtime, commission, self-employment) require longer history and averaging.

Q117: Under the SAFE Act, which of the following describes the 'nationwide mortgage licensing system'?

- A. A system operated by the CFPB to approve all mortgage loans
- ✓ **B. A multi-state system that provides a uniform platform for licensing, registration, and supervision of MLOs**
- C. A database of all mortgage applications
- D. A rating system for mortgage lenders

Explanation: NMLS provides a nationwide platform for state mortgage regulators to process license applications and renewals, maintain MLO records, and coordinate oversight across states. It improves regulatory efficiency and provides consumers access to verify MLO credentials.

Q118: A mortgage servicer who misapplies a borrower's payment (for example, crediting it to fees rather than principal and interest) may be violating:

✓ **A. RESPA Section 6 — Servicing obligations**

- B. TILA's origination disclosure requirements
- C. The SAFE Act's licensing provisions
- D. HMDA reporting requirements

Explanation: RESPA Section 6 and the CFPB's mortgage servicing rules (Regulation X) govern how servicers must handle borrower payments, error resolution, and complaints. Misapplying payments is a servicing violation that may require correction and can result in regulatory penalties.

Q119: Which of the following is TRUE about 'lender credits' on a Loan Estimate?

A. They increase the loan amount

✓ **B. They reduce the borrower's closing costs in exchange for a higher interest rate**

- C. They are paid by the seller to the lender
- D. They are only available on government loans

Explanation: Lender credits are payments from the lender to offset the borrower's closing costs in exchange for a higher interest rate (above par pricing). They appear as a negative number in closing costs on the LE and CD. This reduces upfront costs but increases the long-term cost of the loan.

Q120: Which of the following federal laws requires lenders to maintain and provide to consumers a list of homeownership counseling agencies within 3 business days of application?

A. The Fair Housing Act

✓ **B. RESPA (Regulation X)**

- C. TILA (Regulation Z)
- D. The SAFE Act

Explanation: RESPA/Regulation X requires lenders to provide applicants with a list of homeownership counseling organizations in the area within 3 business days of receiving a written application. This information helps borrowers understand their options and rights.
